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EDITED TRANSCRIPT

SCHN.PA - Half Year 2026 Schneider Electric SE Earnings Call

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PRESENTATION

Operator

Good morning. This is the conference operator. Welcome to the Schneider Electric half year 2026 Results with Olivier Blum, Chief Executive Officer; Nathan Fast, Chief Financial Officer; and Antoine Sage, Head of Investor Relations.

(Operator Instructions)

I would like to inform all parties that today's conference is being recorded. If you have any objections, you may disconnect at this time.

At this time, I will hand you over to Mr. Antoine Sage. Please go ahead, sir.

Antoine Sage - *Schneider Electric SE - Senior Vice President, Head of Investor Relations*

Hello and good morning, everyone. Thank you for joining us for our 2026 half year results presentation.

I'm joined today by Olivier, our CEO, and by Nathan, our CFO, here in Paris.

When it comes to the agenda, so you have the slides as usual. We will walk through the presentation first and then we'll make sure that we have ample time for your question. As always, I want to remind everyone about the disclaimer that you will find on the page number two.

And with that, Olivier, I hand over to you.

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Thank you, Antoine. Good morning to all of you and thanks for joining us.

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So I will go straight into the results of H1. So we've delivered in Q2 fairly high growth at 17%. What is very important for me is our two businesses are contributing to this high growth in the second quarter. You see Energy Management at 18%, but also Industrial Automation at 11% that shows that really we are starting to be back on track and to deliver more and more to our customer by delivering really the strength of our two businesses. So great Q2, well on track for the rest of year.

When it comes to the market itself, you can see on the left-hand side really as a reminder what is the exposure of Schneider Electric. So fairly good and balanced exposure between buildings, industry, Data Center, and network but also Infrastructure. And it's a very, very interesting time for us because indeed, and I'm sure you will ask us a question today again on Data Center. Data Center continue to be a leading part of our exposure.

But what is very, very important is it supported also with triple digit growth also demand in Semiconductor. You can see that Power & Grid, everything which is inside Infrastructure continues to be very solid. So to get it short, you can see that all the segments of Schneider Electric from a demand standpoint are growing with a fairly high demand everywhere and probably the only one which continues to be subdued is really the residential market, but all in all that confirmed that both with our strategic portfolio, but also with our exposure, we continue to be very well positioned and to be very, very resilient in terms of growth across the cycle.

So as a result of that strategy and that exposure, we are very, very pleased to report very strong growth in H1. For me, it's very, very important because I came in front of you last year and in particular during our Capital Market Day with our revised strategy, Advancing Energy Tech to the Next Level of Intelligence, but we also told you that we are launching internally our company program which is really to align everyone in Schneider Electric against what are the priorities, what are the key transformations we want to deliver strategically in the long-term, but also making sure we are back to a very strong level of operational excellence and you can start to see in H1 that we are benefiting from that very strong focus.

So the growth is at 14% organically for H1, but you see that each (inaudible) in slight improvement of gross margin. We will come back on that. We told you with Nathan, we will be slightly negative to neutral in our H1, so we are well in track with our plan. It translates also in an improvement of our adjusted EBITA margin by 120 bps. And what is very important and that continues to be the signature of Schneider Electric, it translates into a very high level of free cash flow at EUR1.6 billion.

And what is equally important for me is always to measure how this is done, what is the contribution of the portfolio of Schneider Electric. And you know we are a company when we come back on that that want to connect the physical and the digital world and that's why measuring the contribution of our digital portfolio through the flywheel is extremely important and we continue to progress at 62% well in line with our 70% plus ambition at the end of the cycle.

So we'll come back of course with Nathan later on in details on all those numbers. But what I want to give you is a quick update on where we are in delivering the next level of advancing energy tech to deliver more intelligence for our customer. As I told you, we translated that into a plan that we used of course to communicate with you but which is really the vehicle internally to make sure we stay well on track and I will go straight into the first part which is what have been the key update in Q2 when it comes to technology leadership.

So no change. When I say we want to connect the physical and the digital world, for 190 years, Schneider Electric has been a leader in hardware in all the sectors. We have expanded our portfolio everywhere in the world. And since more than 10 years, we were convinced that the acceleration of electrification and the acceleration of digitalization will help Schneider Electric to deliver more efficiency and sustainability to our customers. And that's why we have built this unique portfolio which is made of hardware, edge layer, and with a very strong digital layer.

Now what we have learned also in the past five years, once you enter in the digital layer, there is something that is extremely important, which is data. It's not only about putting software on top of hardware, it's about how you can capture data from the physical world, contextualize, federate those data and deliver more value to our customer. And we've been pursuing that goal, we refresh that strategy with you and we are doing the Capital Market Day, but that's what we do with the Data Cube. It's about how contextualizing, capturing all those data to be able to go to the next level of intelligence for our customer.

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And there is one thing that I like to mention which is very, very important. At the end of the day, our customer are choosing where they want to work with Schneider Electric. They can work with us on the hardware side, they can work with us directly on the software side, they enter in that portfolio the way they want but for us what is very important is to be able to give the most to our customer.

So in line with that strategic direction, we progressed quite a lot I have to say in Q2 and I've made this announcement already a couple of weeks ago but Cognite is coming as a very, very strategic acquisition for Schneider. When I say we connect the physical and the digital world, when I say we need to create a very, very, very strong data foundation, Cognite Data Fusion amplified by A-Class AI which is their agentic layer, is a very, very rare asset in the market. It's a unique technology, unique capability that they have developed, initially more for the industrial world, but we see a lot of opportunity for the energy world.

And, of course, we are still after signing, before closing, and a bit too early to say more, but we want to make the most of that acquisition to accelerate our Data Cube and to accelerate all the AI capability that will help us to deliver the next level of intelligence for our customers. So extremely excited to onboard, hopefully very, very soon, Cognite. We have great people everywhere in the world, but in particular with a very strong tech team in Europe, in Norway.

So one update I wanted to give you today is we've made the decision also to accelerate energy intelligence in Power & Grid with utilities. We believe the next level of efficiency in electrification will be around the work you can do with Power & Grid. Again, here we are present historically with all our hardware portfolio. We have also created a unique digital portfolio with our smart green offering with our offer which are also adapted for distributed energy and with AiDASH, basically we go against the next level of intelligence by onboarding a company that will give us what you need to manage climate risk, which means when you have wildfire, which is unfortunately a big topic in countries like France those days, but also any kind of risk which can be related to storm and so on and so forth, vegetation management, AiDASH brings those unique capabilities that help you to capture real time, to anticipate those kind of events and that we can plug inside what we have been doing with Schneider Electric in our smart grid portfolio to deliver even more intelligent to our customer. But, of course, our customer here, again, will have the choice to build the full solution of Schneider Electric or to continue to buy directly AiDASH capability, which are growing very, very fast every year.

So that I wanted to give you on the technology. I told you last year that a key part of our strategy will be really to accelerate through partnership. We don't need to do everything by ourselves. And we are extremely pleased, again, in the domain of Infrastructure, utility, efficiency, and flexibility with a partnership that we have announced with Kraken by combining our solution that will help us to unlock together grid flexibility at scale. So very exciting time also in the field of Infrastructure and in particular grid flexibility.

The third part which is important, which is not new for you. We told you many times that we are very excited by, of course, the growth of AI Infrastructure at the CapEx stage to build. But what was equally and even more important for us, I think, was really to be able to play across the life cycle at the design stage, at the build stage, but also at the operate and maintain stage. And that's where data is very important. And if I connect to my introduction, we will continue to develop the most competitive portfolio with the best possible supply chain to deliver at the build stage, but we want to play a bigger role at the design stage and that's why we are very, very pleased to report that in Q2 we've made a lot of progress and in particular with the new AVEVA DSX portfolio that helped really to help to improve the efficiency for our customer.

And I remind you we've done a lot also in Q1 with ETAP to create unique digital twin and we continue that journey again to capture data across the life cycle to deliver even more services for our customer. There is a shortage of manpower everywhere in the world. It's super important that we can deliver more and more digital services, condition-based maintenance services for our customer, and this is what we call EcoCare in the case of Data Center but you can see really that again managing the data across the life cycle will be a unique differentiation when you want to connect the physical and the digital world.

Staying on Data Center, we continue to be very active in organic R&D. You asked us in the past two years a lot of questions about the evolution of the architecture. Indeed, we see that with the increase of the demand of the GPU which will be more and more intense, that will require more and more density, power density per racks, it's very, very obvious that we will have to be able to provide different alternative in terms of architecture. It doesn't mean that everything will switch, first of all, it doesn't mean that it's going to happen overnight, but that

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will be one of the architecture that will be important in the future and that's why we've been very, very active to build a very, very strong roadmap where we can really follow the demand in the market, the evolution of the market from what we started to do last year, this year, and in the coming.

Of course, we've communicated a lot about what we have done with our power rack, what everyone call in the market the cycle, but what is very, very, very important progressively in the next two coming years is to come with a very, very industrialized solution with what we call the power center with new SST solution that we have developed right now that we have prototyped and testing already with a couple of customers and to make sure that we are ready with industrialized solution when the demand in the market will accelerate. So great progress done in R&D and we'll continue to give you an update in the future on the way we are progressing.

The second key pillar of Schneider Electric is really the way we want to deal with our customers. This slide, you've seen it so I'll be very fast. But we want in a world which is more and more fragmented to build a unique model of differentiation, which is a regional model where we connect the way we innovate, we supply, we sell. And in every single region, we want to be differentiated. We want to leverage the ecosystem. We want to leverage our knowledge. We want to leverage our ecosystem of partner and on top of that for sure, there are certain number of directions that will continue to be global on technology platforming on the way of course we manage our supply chain and we connect the different elements of our supply chain but the way we sell.

Just to give you an example, while a large part of the portfolio is sold through local regional customers, we have an increasing path which is done with global customers and here it's important that we keep a global dimension. So that continues to be really the compass of Schneider on how we drive our differentiation in front of our customer. And just to report a couple of progress here again in Q2, we have announced in the month of June that unique partnership with SoftBank wanted to make a massive investment in France in the field of AI Infrastructure. And I do believe that the unique knowledge and presence of Schneider Electric in France, again our knowledge of the local ecosystem which is both our customer, which is both government organization from the top of the country to the lowest level in the region, the connection of Schneider Electric with utility like EDF which has power available. So we are a kind of connector of all these ecosystem and becoming in the future a partner of SoftBank, a technology partner, but where we will also commit on our side to build a new prefab factory which will be close to the Data Center as soon as the deployment will start in the coming year. So that's a very, very interesting partnership and I think it was only possible, thanks to the very strong presence of Schneider Electric in the local ecosystem.

And as of that I wanted to give you, we continue to make the most of the acquisition that we have done in the past. Again with this willingness to give even more to our customers in every region. Just a first example, as I told you already, Motivair has been growing very fast, in particular in North America since we've made the acquisition. It was at the beginning of the acquisition, 95% of the sales of Motivair were done in North America, but our (inaudible) since day one when we closed the acquisition was to get ready to expand and now it's done, we are ready to manufacture our liquid cooling equipment, our CDU, both in Italy and Conselve, where we had historically chillers and manufacturing, but also in India, in Bangalore, that will help us to serve the rest of the market. So it's a very, very interesting shift that we have prepared in the past two years to get ready now to bring those customers to the rest of the world on top of North America.

Another example which is interesting that you know we've doubled on last year in Lauritz Knudsen, our acquisition in India which gives us of course a unique presence in India which is now the third largest country of Schneider Electric from a sales standpoint. But equally important for me is how we leverage India to create this fourth regional hub, we call it the international hub, but from India we are leveraging the R&D capabilities of Lauritz Knudsen, we are leveraging the manufacturing capabilities and you know that India is a very competitive market, very cost effective market where we can now start to export hose product to the rest of the world but we'll go again in a very selective and progressive manner and that will start by the region which are around India and in particular Middle East.

So that's the update that I wanted to give you when it comes to the customer differentiation and the last one which is very important to me, I've been extremely vocal last year in all our communication. We want to be seen as a very, very advanced company when it comes to technology we want to be extremely close to our customers through our Regional model but also our Global customer but what is equally important for me is that we go to the next level of operational excellence, the next level of cost competitiveness across the board at Schneider. So we built this plan that we announced to you with our executive committee during our Capital Market Day where on one side, we want to go to the next level of leadership, cost-effectiveness on our portfolio. So for me, what is very, very important that we continue to deliver

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very strong productivity, very strong industrial productivity. Nathan will go more in detail, but we are extremely pleased to report EUR535 million of industrial productivity in H1 2026.

But it's equally not to say even more important that at the design stage, when you design the next level of offering, you are extremely cost competitive and we are averaging here a lot of R&D team in China, in India with a very, very strong knowledge again because they are living in a very cost competitive environment on how we can be more effective and we need to deliver cost by design in all our new offers. And when you start to embed those concepts, you build more competitiveness at the launching, but that helps you also across the life cycle of those products to deliver more productivity if you have anticipated.

So very, very, very important point. Last but not the least, I said last year that we will continue to collaborate to leverage partner on technology but also on the supplier side because we don't need to do everything by ourselves and we are very pleased to report the partnership with Foxconn that I will explain in a minute.

Last but not the least but Nathan will go extensively on the detail. We want to be more efficient. We want to be simpler as a company to operate. We have a fantastic growth support in front of us. It's important that we build a model which is simple, which is scalable, which is cost effective. That's why we have this obsession to drive an improvement year on year on our SFC, on our SG&A on sales ratio. And you have seen and that has been a question you asked us last year in Q1, what are you doing in pricing?

We've put a very, very strong methodology process in place. I told you we were ready January 1 to hit the market and now you can clearly see that it comes and it flows to the P&L and Nathan will elaborate a little bit more, but EUR280 million of pricing on products that have been delivered in H1.

Talking about our third player collaboration, I just wanted to share with you that Foxconn agreement for North America will help us to improve -- increase capacity to deliver prefab for the Data Center industry and that's very, very, very important because that's also a way for us to mitigate potential not I would say decline but slow down at one point of time in that industry. We don't need to manufacture everything by ourselves and that helps us of course to increase immediately our capacity to hit the market and to supply the increasing demand that we see in Data Center.

So to close that first section, it's very, very important for us that we continue to drive shareholder value with a consistent capital allocation and we continue to be extremely focused, delivering strong investment credit rating, which is very important. We continue to be very, very, very solid on our balance sheet. As you've seen in May, we continue to have a very, very progressive policy in terms of distribution of dividend, progressive in 16 years and we continue this year to increase our dividend for our shareholders.

We continue to be extremely active in portfolio management, which is on one side, what are those assets which are less important strategically for the future that will continue to divest. They are not big assets, but it's a sum of small-, medium-sized assets, very important for me. And we'll continue, of course, to be extremely disciplined in capital allocation, like we've done in Motivair, Lauritz Knudsen, doubling down last year, but also the recent acquisition that I just announced about Cognite and AiDASH, but all of that being extremely focused and contributing to the acceleration of our strategy.

Last but not the least, we told you end of last year that we want really to progressively increase and to be more systematic in share buyback and in line with that strategy we have started to develop -- to implement in H1 already EUR250 million that have been [repurchase] shares.

To finish my presentation, I'd like to give you a quick update on what makes Schneider Electric also very, very different company, very strong focus on our people, on the engagement of our people, but also the fact that we are an extremely reliable, responsible company and having sustainability always on top of their agenda.

So just to give you some illustration of that focus, we just ran our employee engagement survey. We have an extremely high level of engagement, 88% of our people taking the time, 80% of employee engagement at a time where really the company is transforming, the world is extremely challenging. It's really good to see that level of engagement. More important is to see what are the drivers of that

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engagement, the trust in the purpose of Schneider Electric, the North Star, the fact that we have been committed, we are reliable, very strong sense of ethic and the fact that we offer massive development opportunity in the career of our employees.

And as a result of that, just to tell you, we have every year since many, many years worldwide employee shareholding plan. I think the trust of our employees is well illustrated in the 62% of employees who are investing at Schneider are investing in the company and with three countries, China, France, and India, even above 80%. So I think that gives a strong illustration of our commitment -- of our employees that I want to thank today again for the great job they are doing at Schneider Electric.

Multiple recognition outside on that commitment to people and sustainability and of course always pleased to see when you are rewarded as the most sustainable company in the world in '26 for the third year in a row.

As you know we've launched our new sustainability impact program. This is the beginning of a new cycle. We are at the end of H1. I will not go into the detail, but we are tracking well with our target that we have fixed for year one.

And I will just finish by telling you that my priorities, the priority of the company are unchanged. It's very interesting, that's probably the first time since I've been appointed that I don't change one of my slides. This slide is exactly the slide we have used to enter in '26 with you, but also with our team. Everything that I said around technology, leading in this new energy landscape, being the most innovative company in this new electrical distribution world. Going to the next level of intelligence by bringing this new -- this unique data layer that we need to deliver more intelligence for our customer. It's a combination of being more software defined in everything we do on our product portfolio, but delivering more value through AI, through software to our customer. And of course, continuing to have a very strong leadership in Data Center and all of that with more and more technology and supply chain partnership to accelerate our strategy.

On customer differentiation, I've covered all the points. We will continue to be that unique company which is extremely regional, to be extremely close to the customer with a certain number of areas where we want to be really global when it comes to some very important strategic fundamentals and a very strong obsession at my level on operational excellence. But I do believe that at the end of H1, we are proving to you that what we said last year start to work, start to impact of P&L with a very strong focus on price, delivering better margin, and continue to be very focused on productivity and efficiency.

And we are also investing in AI internally to make sure that we prepare the next level of efficiency for Schneider Electric, but we'll get back to with more details in the future.

On that, I'd like to hand over to you, Nathan, to go more in details into our financials.

Nathan Fast - *Schneider Electric SE - Chief Financial Officer*

Perfect. Thanks, Olivier, and good morning, everyone.

I'll start with our key financial highlights for the first half. Our H1 revenues are at EUR21.2 billion, a record for first half. In gross margin, as Olivier already mentioned, we see net positive outcome of 10 bps organic with strong productivity and acceleration in gross pricing on products, offset by inflationary cost, tariffs and mix. After gross margin, we see strong positive evolution in our operating leverage, driving our adjusted EBITA margin up 120 bps organic and we retain good control on our SFCs. Our net income and adjusted net income both show strong positive evolution. Finally, as Olivier mentioned, we delivered a record free cash flow for H1 at EUR1.6 billion.

Moving to H1 revenues, both businesses are contributing to growth. In Energy Management, we deliver growth of 15.4% as we see continued strong demand across all of our end markets, led by Data Center, but with strong contributions from all.

In Industrial Automation, we deliver growth of 7.7% with strong contribution from Discrete as the recovery continues. And we're pleased that process turns positive in Q2 in the longer cycle business after the demand had picked up in H2 of 2025. Scope impacts are now

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immaterial with Motivair considered for only two months in H1 as it is now part of our organic performance. And FX translation adversely impacted our revenues by close to EUR750 million, mainly due to the weakening of the US dollar and the Indian rupee against the euro.

And as you can see at the bottom of the slide, if rates remain where they are now, we would expect ForEx impacts of minus [EUR400 million] (corrected by company after the call) to minus EUR500 million on revenues and negligible impact on adjusted EBITA margin for the full year. In total, we were up 14% organic in sales with strong momentum going into H2.

Sticking with the H1 view for just one more slide, we'll show here our digital flywheel with the weightage in percentage of the group sales. We see the continued progression up 2 points versus H1 last year to 62% as we execute on our strategy. And at Schneider, we really see the value in the flywheel. And the strong growth in connectable products sets us up well to deliver the energy and industrial intelligence layers, which of course are more recurring in nature, deepening our relationships with customers throughout the ecosystem and make our revenues more predictable and resilient over time.

Now moving to Q2 and the revenues. Revenues were up 16.5% organic to EUR11.5 billion, a record for any quarter with all regions contributing. In particular, we have North America and China East Asia both delivering growth around or above 20%. And I note India is also growing at similar levels, so our three largest geographic markets are all booming. Scope impacts in Q2 were immaterial, while ForEx eased in comparison to Q1.

Turning to our mix of business models for Q2. Product growth accelerated to 13% organic. And as Olivier mentioned, price contribution increased sequentially versus Q1 represent approximately 4 points of product growth in Q2. The realization of price increases passed proactively at the start of the year now started to accelerate through the quarter. What that also means is that product volumes therefore also accelerated with contributions from both business units.

If I go to Systems, our Systems business where we primarily sell directly to end users. They continued with high demand and strong execution, translating into sales of 28% growth, driven by Data Center, but again with growth across all four end markets. Finally, on software and services, they grew plus 6% with double-digit ARR growth in AVEVA and single-digit organic growth. It's especially important for AVEVA as they now enter the completion of their transition to subscription, a journey that our EM software assets are still progressing along. Services inside grew mid-single-digit overall and we expect an improved growth contribution in H2.

If I focus now on the geographic drivers that accelerated Energy Management to growth of 18% organic in Q2. North America, as you see at the top left, was up 25% with the US driven by momentum in Data Centers, where we saw particularly strong growth from cooling, from prefabricated modular solutions, and three-phase UPS, with also semicon and energy and chemical segments contributing to that growth.

Canada grew double-digit, while Mexico remained down due to certain trade uncertainty. In Europe, we grew at 8% organic, led by performance in power and grid and also in buildings. Data Center demand in the region did remain strong, and we see that demand coming, while the sales growth was impacted by execution on some larger projects last year. In Europe, all five of the major European economies were growing, at mid-single-digits or higher, with Italy and Germany leading the growth.

In China and East Asia, we were up a strong 20%. Inside of that, China was up double-digit, led by Data Center, semicon, and renewable power. Whereas in East Asia, we also grew strong double-digit, but it was primarily led by Data Center, which is a reflection of the broadening in geographies boosted by the AI demand. In South Asia and international, we grew 13%, and it's a bit contrasted in performance by region. But as I mentioned earlier, India remains very strong with broad-based growth across the end markets.

Australia was also very strong benefiting from Data Center trends. While the growth in South America was a bit more subdued with some good traction in grid related projects with a bit softness in the more short cycle product exposure there. Finally on Middle East, it remains of course subject to considerable uncertainty and while we have adapted, the situation remains volatile and has impacted growth.

Turning now to the geographic drivers of Industrial Automation, which grew 11% in Q2, showing the good momentum and return to revenue growth in process. North America grew 8%, with the US up mid-single-digits, led by growth in Discrete and returning to growth in process,

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which we would expect to continue based on the backlog we've built and discussed in previous quarters. Canada grew double-digits also in this business unit with strong contribution from the process segments, while Mexico in fact returned to growth against the low baseline of comparison.

In Europe, we also grew 8% with AVEVA up strong double-digits with contributions from various countries. There was good growth overall in Discrete, led by strong growth in Germany and Italy, which are two of our largest markets there. While process also grew, although the market recovery in Europe was not quite as progressed as in North America.

Moving in the circle, China and East Asia delivered very strong growth at 20%. Across the region, we saw strong double-digit growth in Discrete markets and encouraging signs in process markets in some of the countries within East Asia. China grew strong double-digit led by good traction with OEMs, while East Asia grew double-digit with semicon segment as a key driver.

Finally, on South Asia and international, we grew 9% in the quarter with India seeing strong growth in Discrete and strong performance from AVEVA in Australia. Like for EM, the Middle East remains subject to considerable uncertainty. Across both businesses, we see this as a challenge in H2 2026, but in the longer-term, there are clearly strong opportunities to participate in the post-conflict recovery.

Turning now to income statement and our first half income statement here.

We finished H1 with adjusted EBITA of EUR4.1 billion, a record for an H1, with organic growth of 22%, taking us to a margin of 19.3% of sales and growing 120 bps organic. This was driven by our strong top-line growth. Our focus, as Olivier mentioned, on operational excellence, driving strong productivity, driving strong product price with acceleration in Q2 and significant operating leverage.

Our adjusted EBITA margin in Energy Management was up 100 bps organic, broadly reflecting those same dynamics as the group. The adjusted EBITA in Industrial Automation also improved year-over-year by 50 bps organic as we implement the margin recovery plan there to reach 18% by 2028.

The last thing I'll notice at the bottom of the slide, R&D costs in the P&L remain stable at close to 6% of sales, representing our sustained commitment to innovation as we deployed around EUR1.2 billion on R&D in H1.

Turning now to our gross margin bridge for the first year of the half. We finished H1, as I already said, with gross margin of 42.5%, up 10 bps. If I focus on a couple of levers, on net price, we see the benefit from those proactive pricing actions taken at the start of the year, which really accelerated strongly in Q2, but were still insufficient to offset the raw material inflation and tariff impacts we faced, which is a good moment to remind you that the impact from RMI and tariffs in H1 last year was close to zero.

Related to tariffs, we saw the benefit of around EUR100 million coming from tariff refunds in Q2. For the full year, we are unchanged in our expectation that we will offset the impact of RMI inflations in value through our pricing actions.

Moving to the second lever, productivity was particularly strong, as Olivier mentioned, above EUR500 million impact in H1, showing good sequential improvement driven by several factors including technical productivity, supplier negotiation, and leveraging our capacity investment of recent years. One note of caution is that we delivered more than 70% of our full year 2025 productivity in H2, so the baseline does become a bit more challenging as we progress along the year. Mix was negative in gross margin, as expected, given the very strong growth in our systems business model.

Moving on to support function costs, these grew at 8% organic compared to the top-line growth of 14%, thereby, as Olivier also mentioned earlier, demonstrating considerable leverage with our SFC to sales ratio improving by 1.1 points. We continue to maintain tight control over discretionary costs and start to see the benefit of the structural actions we have taken to improve efficiency. And alongside this discipline on one side, we do continue to invest, as I already mentioned, in R&D, but not only we also invest in our digital transformations and AI initiatives.

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Turning now to net income, on a reported basis, including Scope and ForEx, our adjusted EBITA was up 17%. Below the line, I'll pick just a few items to cover. In OOIE, we have an impairment of capitalized development costs. As you know we have a strong emphasis on refocusing the Industrial Automation business as part of our overall operational excellence a pillar. Part of that initiative involves simplification of our IA offer ranges and we've been making progress on this in H1.

If I move to the second line on restructuring costs, we do see the uptick that we previously communicated and you see the savings of that from the previous chart. There's no change to our expectation around the total envelope of incremental charges, but we do expect those to peak in 2026 with total restructuring charges of around EUR450 million this year.

On net financial costs, the increase there just basically represents our bond refinancing and financing undertaken in 2025. And all in at the bottom, our net income lands at EUR2.5 billion, up 30%, while our adjusted net income, which removes those one-time charges we had last year, grows 21% or 29% at constant currency.

If I move then to cash flows, our operating cash flow for H1 grew 28% year-over-year, reaching around EUR3.8 billion, primarily due to the strong P&L performance. Free cash flow was a record for an H1 at EUR1.6 billion, including the usual H1 buildup in working capital, which reflects the rapidly growing nature of our business. On non-trade working capital, we see the impact of a much stronger H1 performance, both on bonus accruals plus the one-time charges we had taken last year. We expect our cash conversion ratio to be around 100% for full year, which was in line with our communicated expectations.

Finally, and Olivier mentioned the strength of the balance sheet, our debt ratios remain strong, supported by our continued strong results. And you will see in this slide that our credit ratings with S&P and Moody's have been reconfirmed following the proposed acquisition of Cognite.

With that, Olivier, maybe I'll turn it back over to you.

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Thank you very much, Nathan.

As usual, look, we would like to finish that presentation to tell you what our -- what do we see for H2? What are the trends and what are the financial targets of the company? First of all, what I'd like to say is what do we expect in terms of trends? We will continue to live in a very, very complex environment. I think we've been used to for the past year as we are living in a world which is more and more fragmented. And first, what is very, very important is to make sure we can navigate with that level of uncertainty. So we don't believe it will reduce in the next 6 months, in the next 12 months, we have to be used to that.

When you are living in this kind of environment, what makes Schneider I think really very different is the fact that we have this very, very balanced exposure. So what we expect in H2 basically is to have a strong contribution from our four end market, from all our four business model, and from our four regions. So the triple four will contribute really to that in H2.

If I go a little bit more in detail from an end market standpoint, of course Data Center continue to be a great opportunity. Short-term, mid-term, we want to be really a very, very strong player in that market across the life cycle. We see that the trend will continue to be positive. We see and it's extremely important for me that the other segment of Schneider are also contributing, industry, Infrastructure, you've seen that Industrial Automation is regrowing fast again in Q2. So that's great to see that we're believing in a market that will continue to contribute strongly and also with building and probably residential a little bit beyond, but still a very positive outlook where our portfolio make a lot of sense.

From a geographical standpoint, as I said, all the regions will contribute with a particular contribution from US and India, but we said it in Q1, we say it again today. China contributes, Europe also contributes pretty well, but here we cannot be helped too much by the environment, it's about us to be more differentiated. And of course, as we said, we are still living in a very uncertain world when it comes to the Middle

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East crisis and we'll have to continue to navigate which impact potentially, put pressure on the region from a business standpoint, but also that has impact, as you know on the entire supply chain inflation but we've demonstrated in H1 that we know how to navigate.

All our business model will continue to contribute to the growth, fast growth in system, fast growth in product. And of course, we want to continue to make sure that everything is translating by an increase of our digital flywheel and with an extreme focus on everything that comes from software and services.

And last but not least. I said this already several times today, it's super important that we continue to execute our company program. The priority we fixed end of last year are the right one and obsessed, really focused on gross margin improvement with two particular drivers, pricing and industrial productivity, continue to be very disciplined in our SG&A and we've demonstrated for more than one year now that we are extremely disciplined and as a result of that, that give us the possibility to continue to be very ambitious when it comes really to profitability.

So as a result of that, in that environment where Schneider Electric has delivered a very, very strong H1, we are coming to you with a revised target, a target that has been upgraded where we believe we can deliver between 14% and 19% of organic improvement of adjusted EBITA, which is supported by two very strong drivers, as you know. So we are revising our guidance up in terms of revenue from 7% to 10% to 10% to 13% organic, and we are revising up also adjusted EBITA margin from 50% to 80% to 70% to 100 bps by the end of the year.

As I said to my team we are at the last time of the game. We are extremely ambitious. We have to stay humble to continue to be very focused and making sure that we can really exceed our target this year and deliver that new guidance we are presenting to all of you.

Thank you very much for your attention and I hand over back to you for the Q&A, Antoine.

Antoine Sage - *Schneider Electric SE - Senior Vice President, Head of Investor Relations*

All right. Thanks a lot, Olivier.

So indeed, that will be time for us to open the Q&A.

(Event Instructions)

So with that, operator, let's get started.

QUESTIONS AND ANSWERS

Operator

(Operator Instructions)

Philip Buller, JP Morgan.

Philip Buller - *J P Morgan (UK) Ltd - Equity Analyst*

Congratulations on the results.

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There's a lot in there, but the gross margin development was not expected or what was guided to, I guess, being positive in the first half and that 120 bps of adjusted EBITA margin is also better than expected. And I think that the original guide was that there was going to be an H2 waiting this year. You're now expecting the opposite profile as implied by the guidance.

So what has changed other than costs, which actually went up? Was this price realization or price increases being above plan or were there things like tactical cost savings that we should assume come back in H2 or how do we reconcile that sequentially lower H2 EBIT margin progression in the second-half of the year beyond conservatism?

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Thank you very much for your question. I will start and of course, Nathan, I will let you complete.

Look, number one, if you remember all our discussions last year, I was extremely open with you. By the way, all of you guys were pretty challenging on the capacity to Schneider to deliver a really strong operational performance. I think many of you gave us a feedback in our CMD that you liked really the strategic direction, the differentiation of the company, but you are telling us, look, you need to be back to very strong operational excellence. I've been very transparent since I've been appointed. We put a plan last year, we've communicated to our leadership internally and then we work hard.

Now, when you manage such a large company in such a level of uncertainty, it's very difficult to predict at which point of time everything is going to scale. So when I entered in 2026, I had a very high level of confidence that we were very well aligned in the team. In multiple calls, I told you we were ready this time, January 1 to hit the market when it comes to pricing. I knew we were increasing our focus on industrial productivity, but it's always difficult in such large organization to predict at which speed it will scale up. And we definitely see across H1, month after month, it's getting better and better.

We finished very well in Q2. Of course, everything being amplified and all the work you do on operational excellence is amplified with, of course, more volume, more growth. And as a result of that, we definitely finished H1 a bit in advance versus what was the initial plan, clearly. And in the market where we continue also to grow fast. And if you go in the details of our numbers, you will see that on the growth and we are always living in a competitive environment, we do pretty well. We will also challenge last year on a certain number of metrics.

We say with that on triple-digit-growth in semicon, in Data Center. So all this volume also is accelerating, which demonstrates the great job of our salespeople everywhere in the world. And managing P&L is very, very simple. At the end, if you have great volume and you do a great job on operational excellence, of course the results are better. So always difficult to predict at which speed we will be back to business, but I think we are demonstrating that the plan is working and that gives us the confidence to raise the guidance for H2.

Do you want to go a bit more in detail?

Nathan Fast - *Schneider Electric SE - Chief Financial Officer*

Yeah, maybe the only thing I'll supplement for you, Phil, is because I don't want to repeat what Olivier said, but we view H1 performance as primarily in line with what we had guided and what we've been discussing with you over the last months and quarters, and we see the good progress in productivity, in pricing.

Now, the one thing I mentioned earlier is there's still, and Olivier said, we live in an uncertain environment and we continue to monitor. I mentioned the tariff refunds. So that element, certainly we weren't considering back in February when we're talking about the shaping of the P&L across the H1.

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And otherwise, I mean, inside of our guidance, we're taking multiple scenarios. We're looking at the underlying run rate. We're looking at the operational excellence programs that we have in place. And we're pretty confident that this is the right level at the 70 to 100 bps with the growth of 10% to 13% that put us in a healthy range to be able to deliver at the full year of 2026.

Operator

Alasdair Leslie, Bernstein.

Alasdair Leslie - *Sanford C Bernstein & Co LLC - Equity Analyst*

So my question is on Data Centers. One of your closest peers yesterday highlighted challenges in scaling more integrated solutions. They talked about being on a learning curve. You're developing similar solutions. You kind of showcased some of those in the slides. How comfortable do you feel about execution risk as these kind of AI deployments become larger, more complex, more modular? How do you ensure, I suppose, that this doesn't become a constraint on growth or margins, particularly as you're kind of building momentum around execution again?

Thank you.

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Look, that's a great question. And we've been in this Data Center industry for more than 20 years. As you rightly said, the past years, we've seen an acceleration. And if you remember every time when we explain with Nathan, the way we look at the market, number one, we speak to our customer. We have the privilege to work with 200 customers in the world. Of course, a couple of them represent a large part of the opportunity but not all because you have the Hyperscaler, you have the colo, you have the neocloud in North America, everywhere in the world and we like to work with them and say, hey, give us basically what is your own forecast in terms of gigawatt to be built for the coming years. And from there that gives us a kind of idea where we could be in 2030 but more important where we are in the next two to three years.

And we cross that of course with our pipeline, with our backlog and since I would say forever, that's the way we really predict the future and we try to anticipate the acceleration. It doesn't mean that we are always right, but we have a possibility to increase capacity if we have visibility for two to three years. We can in less than two years increase capacity and that's what we've been doing since basically the past year and especially since two years where we see the acceleration.

So of course we know that at one point of time the market will be constrained sometimes by component, by memory, that's. We increase our safety stock in all those components. That's why we increase our capacity with Foxconn and to make sure we can make the most of that opportunity at the right level of margin also. This is very important to me. The opportunity is massive, but we want to deliver a strong return to our investor, so we make sure also we select those customers that want to be the long-term partnership with Schneider with the right level of economics where we balance all those factors.

And when it comes to technology, as I said before, what is very important for us is to have all the architecture which are important for that market. You don't need to be ready three years in advance. You need to be ready when the first customer wants to have the first quotation and place order. And on that part, I think we are doing extremely well and getting ready for the next.

So your question is absolutely valid. I'm not saying it's easy when you look at the exponential growth, but we try to be extremely disciplined from the long-term planning to the short-term and the way we manage and execute and deliver great service to our customer. And at the end of the day, what you can look -- see through our H1 result is so far it seems to be working very well, but we need to stay attentive because indeed the world is so unpredictable that you can have always issue in that area, but so far so good I would say.

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Operator

Andre Kukhnin, UBS.

Andre Kukhnin - *UBS AG - Analyst*

I'd like to come back to net price just to clarify a few things. Could you firstly clarify the net tariff impact because it shows us minus EUR104 million on the bridge and is that net of EUR100 million refund?

I guess more importantly how did the net price evolve in Q2 versus Q1? You said it improved, but did it come already to breakeven or a positive? And if not, do you expect it to be already in the positive in Q3?

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Well, look, I'll let Nathan give you all the details of the waterfall.

What you can see is which one is basically we are doing what we said end of last year, which is hitting the market and definitely pricing has been extremely positive to us in H1, but do you want to go through the detail of that impact and pricing, Nathan (multiple speakers) --?

Nathan Fast - *Schneider Electric SE - Chief Financial Officer*

Maybe I can go through a bit more details for you.

Yes, from your mechanical read, so I answer the easy first, your mechanical read, yes, you can add EUR100 million to EUR104 million. Now in a broader sense though, we're monitoring and adapting to this net tariff world, there's still uncertainty in tariffs. You saw the announcements even last week. So we're monitoring that one on all dimensions.

Now you asked a specific question also on the ramp-up of the price. We told you in Q4 and in Q1 that price was approximately 2% of the transactional. Now at 4 points, it's basically a 2.5 time price realization in Q2 versus Q1. So this is really good ramp-up that we're seeing. It's what we've been talking about, this acceleration and the proactive price increase in Q1. And mechanically, that's given us, again, 2.5 times price realization in Q2 versus Q1.

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

I think it would be fair to say, Nathan, that when we look at where we are at the end of H1 in June, if we are able to repeat that in H2, we would be in a great position to compensate the impact of raw material and entire feedback in our P&L.

Operator

Jonathan Mounsey, BNP Paribas.

Jonathan Mounsey - *Exane Bnp Paribas - Analyst*

Obviously, lots of good stuff in there.

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Maybe I'll talk about IA though. Obviously, revenue up strongly, double-digits Q2, I think 7.7% organically H1, I think that's about EUR265 million of organic sales expansion. Margins only up 30 bps. I mean, we've waited a long time for this business to start growing. In the second quarter, they're double-digits and yet the organic profit expansion still pretty anemic. I was really expecting, if I'd known sales were going to be this strong, I'd have expected a strong expansion.

Why is that? And I guess more interestingly, why and when will it get better and what are you doing to improve IA's drop-through?

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Thank you very much for the question. I'll start and Nathan, feel free to complete. What is really important then, of course, as in our Industrial Automation portfolio, we have our software business from AVEVA and we have also our legacy Industrial Automation business. Both are extremely important strategically for Schneider and when you go to the Industrial Automation legacy business, I've appointed, as Gwen in H2 last year really to come and to have a new view on that business, how we can make it more synergetic reserves of Schneider Electric, and we are working on a strategic plan turnaround with two horizons, a long-term horizon and a short-term horizon to deliver strong return.

The mandate that I give really to Gwen is let's make sure that Industrial Automation contributes strategically in the future to Schneider. So the long-term horizon is priority one, which means that we have to make a certain number of decisions on where we refocus our portfolio, what we want to accelerate, double done. The place which are probably less strategic and all of that we try to do it with an economic equation where we accelerate the growth and we are returning back to profitability.

Our commitment with Nathan and Gwen during the CMD was to say we will turn around that business to be back to the profitability we used to have. Actually on the other side, AVEVA, is contributing well. They are almost at the end of their transition and we see the positive impact on the profitability.

When it comes to the IA legacy business we are well on track with the plan and you said it yourself, you can see it already through the growth. When it comes to the profitability, it's on track as well, but again, it's a plan that will take a couple of months, maybe two years really to be back to the level where we want to be.

Nathan, anything you want to add?

Nathan Fast - *Schneider Electric SE - Chief Financial Officer*

No, I think what we can say generally there is it's on track to our 18% by 2028, which we communicated. Gwen's working on the portfolio. As Olivier alludes, we took the right off for some capitalized R&D projects in the past in H1 and we continue to progress. Now, we don't give you the details, but we saw basically the same level of leverage on the base cost and we continue to work on the gross margin, but we consider that we're on track with our commitments there in the medium term.

Operator

James Moore, Rothschild & Co Redburn.

James Moore - *Redburn Partners LLP - Analyst*

Look, I understand your fortunes are not one end market, but just on Data Center, there's clearly been a fade in equity markets globally around AI in recent months, concerns about end users not achieving ROI, moving from token maxing to token mining, the pace of anthropic ARR fading on a month-on-month basis. How do you feel about the wider debate on AI and the path for the next five years?

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I mean, you talk about asking your customers to gigawatts. But it's interesting. I mean, you've talked about 10% growth in the past, but here we are delivering triple-digit growth as a kind of industry. So did those gigawatt plans basically not give you the correct predictions, one, two, three years ago? And how are you feeling about the customer pipeline today?

Basically, the question is, how are you feeling about the overall AI environment? And do you think the high level of orders being enjoyed this year can grow again next year or we can [normalize].

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Thank you very much. I think this is a question that everyone would like to answer with a lot of precision. What I would start to tell you if you look at, first of all, the way we are using AI at Schneider. You know that we have announced and I told you we are very excited by the acquisition of Cognite, why? Because when you want really to connect the physical and digital world and to deliver more intelligence, we are at a unique point of time.

If we are able in the industrial world, process energy to capture all those data, to structure, contextualize, leverage, OSIsoft to capture those data in the industrial world, operational real time data, and we need to contextualize and deliver more intelligence to our customer. I mean we deliver eventually what we wanted to deliver at Schneider Electric for more than 10 years.

What does it mean as a result? It means as a company we will consume more AI, our customer will consume more AI because that will go really to a level of intelligence, driving efficiency sustainability that we have never seen before. So on the consumption of AI if you look at what we do Schneider as a company for our customer, if I go to the efficiency part of what AI can do to make Schneider Electric simpler. We talked already about pricing today. We are starting to experiment AI in pricing. We are experimenting AI in forecasting. We are experimenting AI to amplify ourselves. I can tell you as a CEO of Schneider Electric if you will ask me what is your level of consumption of AI today versus what it will be in five years from now, I will tell you maybe 1% only.

Now I cannot predict about the world or the other company, but when you go to the infrastructure side, we need the right level of infrastructure to support that acceleration. It has been the case in the past. We see an acceleration this year in the US, but we see also big acceleration in the rest of the world, which was completely disconnected. Because when you look at Data Center in the world to support cloud, it's fairly balanced by geography. When it comes to AI, Europe, rest of the world, we are really behind. So that's also a place where people are catching up.

Now, is it too much compared to what the people will need? I don't think it will stay at that level for the next 5, 10 years. But there is a very solid growth and I do believe the demand is just increasing. Now you raise another point that I face as a CEO, it's going to cost you more and more because tokens are not free. The companies who are selling those models have to be profitable.

So on our side we make sure first of all we have good deal and we have the right partner. And on the other side we have to get ready also for that level of efficiency we need to invest in tokens. So we are by the way not increasing [how it comes this year. We're] extremely strict on our SG&A because we want to make sure step-by-step we can also increase our spend of token where the return on investment will come maybe after one year, two years, three years.

So your question is probably the most important question we have all to address, but I think we are very strict on the way. I said it already, we predict the market, talking to customer and we try to stick as much as possible to the demand and as long as those signals give us an indication for next two to three years, we know how to be agile to serve the demand. And that's what we are trying to manage and as an overall question on AI structure.

But definitely this is a question, probably the most important one and the one for companies like Schneider in our industry that will really create a strong differentiation in your capacity to deliver, to execute, to serve the demand of your customer. So far we believe it's manageable, we believe it makes sense, but of course we have to be all very, very attentive of the evolution in the coming years, especially on the evolution of the model, the technology, and how we could change the mix in the future.

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Antoine Sage - *Schneider Electric SE - Senior Vice President, Head of Investor Relations*

Thank you, Olivier. Thank you, James.

Look, I'm conscious of time. We're already at the top of the hour, so we may have the time for a couple of questions more.

Operator, next one, please.

Operator

Daniela Costa, Goldman Sachs.

Daniela Costa - *Goldman Sachs Group Inc - Analyst*

I wanted to ask you a little bit if you could give us some color on how should we think about sort of your capital allocation M&A strategy. Now, obviously, you did Cognite and we sort of there's a lot of the rumors out there in the press, should we be expecting sort of a period where you will accelerate M&A growth along with organic and on Cognite specifically maybe some color on sort of how you envisage growth and margin profile going forward to contextualize the multiple?

Thank you.

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Look, thank you very much for the question. I'm afraid I'm going to be a bit boring and repeating what I've said already several times.

Number one, we have to keep in mind that when you look at the guidance for this year or when you look at the guidance we presented to you during the Capital Market Day, we said most of it will come organically because we do believe that when it comes to go to the next level of intelligence, physical, digital world; we have a lot in-house to deliver most of the growth that we see in the next chapter.

As I said in multiple presentations, I'm obsessed by bringing this technology to the next level, advancing energy tech, the combination of physical and digital, and I want really to make sure we do it at speed. We do it with the best technology. And for instance, when we did Motivair a bit more than two years ago now, that was a good example where we know the market is going to accelerate, GPU are going to accelerate, liquid cooling will become essential.

Two options in front of me. We develop organically four or five -- two years -- four, five years before you get really competitive, all you do is through Motivair. We find a great company, great people, we have a good deal, we go for it. Cognite, you understood that it's the brain of the next cycle of Schneider because this is where you will create this unique data foundation for energy and process. It's a company which has developed a unique rare technology. When you speak to the customer of Cognite, you are really extremely -- I mean they are extremely positive about the feedback of the product.

Now what do we expect from Cognite? It's a dual mission. Keep developing Cognite for customers because some customers love to buy that data layer. They want an agnostic platform and they will continue to sell it and develop it for the customer. At the same time, we want to leverage that technology to be inside all the offer that will deliver intelligence to our customers. So you can imagine that we will sell more and more solutions in the Schneider Electric solution that will be amplified by Cognite technology and likewise it will be the same on the AVEVA side. So we are very, very excited that will be definitely a fast growth on both sides but that is really something that will be really a foundation of the next cycle of Schneider, so very excited by that acquisition.

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Operator

Gaël De Bray, Deutsche Bank.

Gael De-Bray - *Deutsche Bank AG - Research Analyst*

Can I get back quickly to the margin performance, please? I think I remember at the CMD last year, you set an industrial productivity target of between EUR2 billion and EUR2.5 billion cumulatively by 2030, so that's around EUR500 million annually. I mean, in the first six months, you delivered more than EUR500 million of productivity. So I'm now wondering if that performance was kind of exceptional or is rather the beginning of a new trend for you with a stronger productivity improvement run rate than previously assumed?

Nathan Fast - *Schneider Electric SE - Chief Financial Officer*

Gael, it's a good question. Thank you for the question.

Clearly, let's not mix the two timelines, and I'll be precise on how we feel about it. But from a long-term perspective, we're absolutely -- continue to be committed that productivity will be an absolute obsession for the group. Now getting to the short-term in H1, yes, we really like the performance in productivity. We see the attention, the detail from the organization on the different levers, whether it's cost by design, whether it's technical productivity, whether it's negotiation.

Now I reminded you in the financial section, last year H1, we're always talking about year over year. So last year H1 was a pretty low basis of compare, but absolutely this is the type of productivity actions we're trying to drive. Now does that equate to the same linear over a five-year period? Probably not, but we're super excited about the operational excellence and productivity into the H1 of 2026.

Antoine Sage - *Schneider Electric SE - Senior Vice President, Head of Investor Relations*

Thank you, Nathan. Thank you, Gael. I think that we have the time for one last question before I give back the floor to Olivier for conclusion. Operator, please.

Operator

Ben Uglow, Oxcap.

Ben Uglow - *Oxcap Analytics - Analyst*

Can I ask around China, it's kind of interrelated question, I guess. You're up 20% in Industrial Automation, up 20% in Energy Management. It's clearly going extremely well. I guess my question is, when you think about it and when you think about the growth, is this kind of all related to either Semiconductor and Data Centers or is it something more broad-based?

And the reason I ask, even in your press release you call out packaging, material handling and stuff like that. What I want to know is this all just a giant pull through from the AI effect or are you actually seeing something more granular in let's call it the old traditional Industrial Automation part of China?

Thank you.

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Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

No, that's a great question and there is probably a lot in your question to cover.

First of all, if I just step back a little bit and I give you a global answer, we are at a very, very interesting time where electrification is accelerating everywhere and it's even amplified with the Middle East conflict with more and more it's a topic of sovereignty, it was a topic of sustainability, now it's sustainability sovereignty and we see a truly acceleration in electrification everywhere, in home, in building, in transportation, in industry, more and more electrification of process.

And of course, you combine that with the boom of digital, the boom of AI, which for companies like us give a lot of opportunity. So that gives us very, very strong fundamental of growth for us, growth opportunities, strong driver for Schneider Electric. And of course, Data Center is probably the most visible. You are actually right to say that a large part of Semicon is related to Data Center, but not only. But we see also, and I have given the information about AiDASH.

We see that when you are, for instance, in Power & Grid, the fact that there will be a raise of electrification everywhere. And let's make no mistake, Data Centers represent only 1.5% of electricity consumption even with this boom that will go to 3%, 3%-plus, but 97% of the electricity consumption in the world come from the other segment. Your home, my home, this building where I am today, factories, Infrastructure. So this is a very strong driver of growth for the future.

Data Center is the fastest one, Semicon is equally high, but across the value chain you see a large number of opportunity and we are at a unique point of time and that's for us definitely to maximize.

Now when it goes to China. China it's a bit more complicated because you have a very strong demand for the export market at that point of time in China, so that's why we are really doing a good job in the industrial sector. As you know China as a country has been extremely focused on the electrification, so Power & Grid process, industrial electrification is also very high demand. Semicon is growing, Data Center is also growing in China, so everything which is more infra is growing and of course the only part of China which continues to be very slow is the building and residential market, but we reduced drastically our exposure. We have a much lower exposure in residential in building China that we have in the rest of the world.

So at the mix that give us a favorable position. So I would say this is the answer I can give you globally with some different color in China. But the good news for Schneider Electric is again Data Center is an accelerator but what we see and the change for us since 12 months is we see all segments contributing and that's what we want to do because what is super important for me that we keep a very, very balanced exposure to make sure we are extremely resilient across the life cycle and I think this is what we are demonstrating probably today's YH1 results.

Antoine Sage - *Schneider Electric SE - Senior Vice President, Head of Investor Relations*

Thank you Olivier. Thank you Ben.

So with that we are closing the Q&A. So obviously we have not been able to take all of the questions, so we'll engage with you separately. But before we finish, maybe Olivier can I give you back the floor for some conclusion words?

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Thank you Antoine and again thank you for all of you too for being with us today.

If I summarize again I just said it but it's a very, very interesting time where I've never seen so many uncertainty in the world. The geopolitics are not helping. There are a lot of big transformation. We put a lot of pressure on companies, especially global companies. As I said, we have to live with that. We have to learn how to navigate and to be faster and more agile than the others.

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And at the same time, for Schneider Electric, I think if we look at the way we position the company for the past 10 years, electrification is accelerating, digitalization is coming even to the next level with AI. And that's really for me a unique opportunity for Schneider in all our segment to give more to our customers, to give more intelligence to our customers. And that's why we are also doubling down in digital capabilities, in AI, in Cognite, in AiDASH, in strategic partnership with Kraken because we really want to make sure we get ready for the next cycle.

And that's very, very important. You know as a CEO, you have always really to deliver strong results in the short-term, always get prepared for the next cycle and that's exactly what we are doing with our new strategic plan and our company program.

I think the H1 results demonstrate that our customers are confident. We are bringing the right solution, we are the right partner for the short-term, for the long-term. The H1 results show also that our team has been extremely resilient at Schneider Electric. We know we were really challenged but they are working hard to deliver really this company program and I want really to thank all our employees. And as a result of that, I think we do a better job to deliver a strong return to all of you with always a very strong discipline in capital allocation.

But I would just conclude I love sports, practicing, watching. We are at halftime of the game, so let's say extremely ambitious, equally humble. We are in right track to deliver a record year for '26. We are at halftime of the game. Great job. We are happy. Thank you for your support and let's continue to be focused to deliver a great job in the second part of the year. Thank you very much for being with us today.

Antoine Sage - *Schneider Electric SE - Senior Vice President, Head of Investor Relations*

Thank you. Thank you, Olivier. Thank you all and thank you for your support as Olivier said. Goodbye. Have a good rest of the day.

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